SUBCONTRACT AGREEMENT — MECHANICAL AND PLUMBING WORK

This Subcontract Agreement (the "Subcontract") is entered into as of February 2, 2026, between **Harbor Point Construction, Inc.**, a California corporation, California Contractors State License Board ("CSLB") License No. 1094418 (Class B), Department of Industrial Relations ("DIR") Registration No. 1000271563, with offices at 2210 Riverfront Commons Drive, Suite 400, West Sacramento, California 95691 ("Contractor"), and **Delta Mechanical Systems, LLC**, a California limited liability company, CSLB License No. 1052297 (Classes C-20 and C-36), DIR Registration No. 1000388904, with offices at 8815 Fruitridge Industrial Way, Sacramento, California 95826 ("Subcontractor").

Contractor has entered into a prime contract with **Sacramento Unified School District** ("Owner") for construction of the project known as **Rosemont Elementary Modernization**, located at 9640 Kiefer Crossing Road, Sacramento, California 95827 (the "Project").

Contractor and Subcontractor agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 **"Prime Contract"** means the agreement between Owner and Contractor for the Project, including all general conditions, supplementary conditions, drawings, specifications, addenda, and modifications issued before or after the date of this Subcontract.

1.2 **"Subcontract Documents"** means this Subcontract, its Exhibit, the Prime Contract to the extent it applies to the Subcontract Work, and all Change Orders issued under this Subcontract.

1.3 **"Subcontract Work"** means all labor, materials, equipment, supervision, services, and other items required to complete the work described in Article 3, together with all work reasonably inferable from the Subcontract Documents as necessary to produce the intended result.

1.4 **"Subcontract Sum"** means the amount stated in Article 4, as adjusted by Change Orders.

1.5 **"Owner Payment Condition"** means Contractor's actual receipt of payment from Owner for the Subcontract Work covered by a given Payment Application. Contractor's actual receipt of that payment from Owner is an express condition precedent to any obligation of Contractor to pay Subcontractor, and Subcontractor assumes the risk of Owner nonpayment. The parties have expressly agreed in writing to this condition by signing this Subcontract.

1.6 **"Payment Application"** means Subcontractor's monthly request for payment submitted under Article 6.

1.7 **"Retention"** means the portion of each progress payment withheld by Contractor under Article 7.

1.8 **"Final Completion"** means the stage at which all Subcontract Work, including punch list items, testing and balancing, commissioning, training, and delivery of closeout documents, is complete and has been accepted by Contractor, Owner, and the Architect.

1.9 **"Change Order"** means a written modification of this Subcontract signed by Contractor and Subcontractor that adjusts the Subcontract Work, the Subcontract Sum, or the time for performance.

1.10 **"Architect"** means the design professional retained by Owner for the Project, and **"DSA"** means the Division of the State Architect of the State of California.

ARTICLE 2 — SUBCONTRACT DOCUMENTS

2.1 The Subcontract Documents form the entire agreement between Contractor and Subcontractor and supersede all prior negotiations, proposals, and representations, whether written or oral.

2.2 Subcontractor acknowledges that it has received and reviewed the Prime Contract, including the drawings and specifications applicable to the Subcontract Work. To the extent the Prime Contract applies to the Subcontract Work, Subcontractor assumes toward Contractor the same obligations that Contractor assumes toward Owner.

2.3 Where provisions of the Subcontract Documents conflict, the provision imposing the higher quality, greater quantity, or more stringent requirement governs unless Contractor directs otherwise in writing.

2.4 Subcontractor shall notify Contractor in writing of any error, omission, or inconsistency it discovers in the Subcontract Documents before proceeding with affected work. Subcontractor shall not be compensated for correcting work it performed after it discovered, or reasonably should have discovered, such a condition without giving notice.

ARTICLE 3 — SCOPE OF SUBCONTRACT WORK

3.1 Subcontractor shall furnish and install complete heating, ventilating, air conditioning, and plumbing systems for the Project as shown on the mechanical (M-series) and plumbing (P-series) drawings and as specified in the following Project specification sections:

- Section 22 05 00, Common Work Results for Plumbing - Section 22 11 16, Domestic Water Piping - Section 22 13 16, Sanitary Waste and Vent Piping - Section 22 42 00, Commercial Plumbing Fixtures - Section 23 05 00, Common Work Results for HVAC - Section 23 05 93, Testing, Adjusting, and Balancing for HVAC - Section 23 09 23, Direct Digital Control System for HVAC - Section 23 23 00, Refrigerant Piping - Section 23 31 13, Metal Ducts - Section 23 37 13, Diffusers, Registers, and Grilles - Section 23 74 13, Packaged Outdoor Central-Station Air-Handling Units

3.2 The Subcontract Work includes removal and legal disposal of existing mechanical equipment, ductwork, and plumbing fixtures within the modernization area; seismic bracing and anchorage of mechanical and plumbing systems in accordance with the DSA-approved documents; coordination of roof curbs and penetrations with the roofing subcontractor; and startup, commissioning support, and Owner training.

3.3 The Subcontract Work excludes structural roof framing modifications, line-voltage power wiring to equipment terminals, fire sprinkler systems, and abatement of hazardous materials. Subcontractor shall stop work and notify Contractor immediately if it encounters suspected hazardous materials.

3.4 Subcontractor shall submit shop drawings, product data, and samples required by the specifications within twenty-one (21) days after the date of this Subcontract, unless Contractor's submittal schedule provides otherwise.

ARTICLE 4 — SUBCONTRACT SUM

4.1 Contractor shall pay Subcontractor for full performance of the Subcontract Work the sum of **Four Hundred Twenty-Eight Thousand Dollars ($428,000.00)**, subject to additions and deductions by Change Order and to the other terms of this Subcontract.

4.2 The Subcontract Sum includes all applicable sales and use taxes, permits and fees required of Subcontractor, freight, hoisting of Subcontractor's equipment, and the cost of prevailing wages and fringe benefits required by law.

4.3 The Subcontract Sum is allocated among the line items stated in the Exhibit — Schedule of Values. The Schedule of Values shall be used only to evaluate Payment Applications and price Change Orders and does not limit Subcontractor's obligation to complete all Subcontract Work for the Subcontract Sum.

ARTICLE 5 — TIME AND SCHEDULE

5.1 Subcontractor shall begin the Subcontract Work upon written notice from Contractor and shall perform it in accordance with Contractor's Project schedule, as updated from time to time. Time is of the essence of this Subcontract.

5.2 Subcontractor shall furnish sufficient labor, materials, and supervision to maintain the schedule. If Subcontractor falls behind, it shall, at no additional cost to Contractor, add workers, work additional shifts, or take other measures necessary to recover the schedule.

5.3 Because the Project is an occupied school campus, Subcontractor shall perform noisy, disruptive, or roof-level work only during the hours designated by Contractor and shall comply with Owner's rules on campus access, student safety, and fingerprinting or background clearance under California Education Code Section 45125.2.

5.4 If Owner assesses liquidated damages against Contractor under the Prime Contract for delay attributable in whole or in part to Subcontractor, Subcontractor shall be liable to Contractor for that portion of the liquidated damages caused by Subcontractor.

5.5 Subcontractor may request an extension of time only by written notice delivered within seven (7) days after the start of the event giving rise to the delay. Extensions are Subcontractor's sole remedy for delays not caused by Subcontractor, except to the extent Contractor recovers delay compensation from Owner on Subcontractor's behalf.

ARTICLE 6 — PROGRESS PAYMENTS

6.1 On or before the twenty-fifth (25th) day of each month, Subcontractor shall submit a Payment Application to Contractor covering Subcontract Work performed through the end of that month, itemized according to the Schedule of Values and accompanied by the documents required by Articles 8 and 13.

6.2 Contractor will include the approved amount of each Payment Application in Contractor's next application to Owner. Contractor may adjust a Payment Application to reflect the actual percentage of completion or to conform to amounts approved by Owner or the Architect.

6.3 Payment of each approved Payment Application, less Retention and any amounts withheld under Article 9, is due seven (7) days after the Owner Payment Condition is satisfied.

6.4 Contractor will not pay for materials or equipment stored on site or off site. Materials and equipment will be included in a Payment Application only after they are installed in their permanent location in the Project.

6.5 Final payment, consisting of the unpaid balance of the Subcontract Sum other than Retention, is due seven (7) days after the Owner Payment Condition is satisfied with respect to the final Payment Application, provided Subcontractor has delivered all closeout documents, warranties, operation and maintenance manuals, as-built drawings, and the releases required by Article 8.

6.6 Payment of any amount does not constitute acceptance of defective or nonconforming Subcontract Work.

ARTICLE 7 — RETENTION

7.1 Contractor shall withhold Retention of five percent (5%) from each progress payment to Subcontractor.

7.2 Contractor shall release Retention to Subcontractor within ten (10) days after both of the following have occurred: (a) Final Completion of the Subcontract Work; and (b) Contractor's receipt of retention from Owner. Where applicable law requires release within a shorter period, the shorter period governs.

7.3 Before Retention is released, Subcontractor shall deliver the conditional release required by Article 8 for the Retention amount, together with releases from each of its lower-tier subcontractors and suppliers.

ARTICLE 8 — LIEN, STOP PAYMENT NOTICE, AND PAYMENT BOND RELEASES

8.1 With each Payment Application, Subcontractor shall deliver a conditional waiver and release on progress payment, covering the amount requested, executed before Contractor makes the progress payment.

8.2 After receiving each progress payment, Subcontractor shall deliver to Contractor an unconditional waiver and release on progress payment covering the amount actually received. Subcontractor shall deliver this unconditional release with its next Payment Application, and Contractor is not required to process that Payment Application until the release is delivered.

8.3 Subcontractor shall obtain and deliver to Contractor matching conditional and unconditional waivers and releases from each of its lower-tier subcontractors and material suppliers whose work or materials are covered by the Payment Application.

8.4 Every waiver and release delivered under this Article, whether by Subcontractor or by a lower-tier subcontractor or supplier, shall be in the statutory form prescribed by California Civil Code Sections 8132 through 8138, as applicable. Contractor will not accept a waiver and release in any other form.

8.5 With the final Payment Application, Subcontractor shall deliver a conditional waiver and release on final payment, and after receiving final payment it shall deliver an unconditional waiver and release on final payment, in each case in the statutory form and together with corresponding releases from its lower-tier subcontractors and suppliers.

8.6 Subcontractor shall promptly discharge, or cause to be released by bond, any stop payment notice or payment bond claim filed by any person claiming through Subcontractor.

ARTICLE 9 — WITHHOLDING AND SETOFF

9.1 Contractor may withhold from any payment otherwise due Subcontractor an amount sufficient to cover the cost of correcting or completing Subcontract Work that is defective, nonconforming, or rejected by Contractor, Owner, the Architect, or the DSA inspector of record, until the work is corrected and accepted.

9.2 Contractor may set off against any amount due Subcontractor, under this Subcontract or any other agreement between them, the amount of any backcharge incurred by Contractor because of Subcontractor's acts or omissions, including costs of cleanup, repair of damage to the work of others, supplemental labor, schedule recovery, and liquidated damages allocable to Subcontractor under Section 5.4.

9.3 Contractor may also withhold amounts sufficient to protect Contractor against unresolved stop payment notices or payment bond claims arising from the Subcontract Work, and amounts relating to Subcontractor's failure to submit certified payroll records under Article 13.

9.4 Before assessing a backcharge, Contractor shall give Subcontractor written notice describing the condition and, except in an emergency, forty-eight (48) hours to begin corrective action. Contractor shall release any amount withheld under this Article once the condition giving rise to it has been resolved.

ARTICLE 10 — CHANGES IN THE WORK

10.1 Contractor may, without invalidating this Subcontract, order additions, deletions, or other changes in the Subcontract Work. Subcontractor shall proceed with changed work upon receipt of Contractor's written directive, even if the adjustment in price or time has not been agreed.

10.2 Subcontractor shall submit a written proposal for any change, itemized by labor, material, equipment, and markup, within seven (7) days after Contractor's request. Markup on changed work shall not exceed fifteen percent (15%) for self-performed work and five percent (5%) on lower-tier subcontracted work.

10.3 Subcontractor shall not be paid for extra work performed without a signed Change Order or written directive from Contractor's project manager.

10.4 For changes originating with Owner, Subcontractor shall be entitled to an adjustment only to the extent Owner grants a corresponding adjustment to Contractor, and Subcontractor shall be bound by the claim procedures of the Prime Contract, including Public Contract Code Section 9204 where applicable.

ARTICLE 11 — INSURANCE AND INDEMNITY

11.1 Before starting work, Subcontractor shall furnish certificates and endorsements evidencing the following minimum insurance, maintained through Final Completion and, for completed operations coverage, for three (3) years after: (a) commercial general liability with limits of $2,000,000 per occurrence and $4,000,000 aggregate; (b) business automobile liability with a combined single limit of $1,000,000; (c) workers' compensation as required by California law and employer's liability of $1,000,000 per accident; and (d) umbrella liability of $5,000,000.

11.2 Contractor, Owner, the Architect, and their officers, board members, employees, and agents shall be named as additional insureds on the general liability, automobile, and umbrella policies on a primary and non-contributory basis. Subcontractor waives subrogation against the additional insureds to the extent of its insurance coverage.

11.3 To the fullest extent permitted by law, including California Civil Code Section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor, Owner, and their officers, board members, employees, and agents from claims, damages, losses, and expenses, including attorneys' fees, arising from the performance of the Subcontract Work, to the extent caused by the negligence, recklessness, or willful misconduct of Subcontractor or anyone for whom it is responsible. This indemnity does not extend to claims arising from the active negligence or willful misconduct of an indemnified party.

ARTICLE 12 — WARRANTY

12.1 Subcontractor warrants that all materials and equipment furnished will be new, of good quality, and as specified, and that the Subcontract Work will be free of defects and will conform to the Subcontract Documents.

12.2 Subcontractor shall correct, at its own cost, any defective or nonconforming Subcontract Work discovered within one (1) year after Owner's acceptance of the Project, or within any longer period required by the specifications or by a manufacturer's warranty. Subcontractor shall begin corrections within five (5) days after written notice, or within twenty-four (24) hours for conditions affecting heating, cooling, or domestic water service to occupied classrooms.

12.3 Subcontractor shall assign to Owner, through Contractor, all manufacturer and supplier warranties for equipment furnished under this Subcontract, including the extended compressor warranty specified for packaged rooftop units.

ARTICLE 13 — LABOR, SAFETY, AND COMPLIANCE

13.1 The Project is a public work. Subcontractor shall pay not less than the general prevailing wage rates determined by the Director of Industrial Relations, shall comply with California Labor Code Sections 1720 through 1861, and shall maintain DIR registration throughout performance of the Subcontract Work.

13.2 Subcontractor shall submit certified payroll records to Contractor weekly and directly to the Labor Commissioner as required by Labor Code Section 1771.4. Subcontractor shall comply with apprenticeship requirements of Labor Code Section 1777.5.

13.3 Subcontractor shall comply with Contractor's site-specific safety plan, Cal/OSHA regulations, and Owner's campus safety requirements. Subcontractor shall designate a competent person on site at all times when its forces are working and shall maintain an Injury and Illness Prevention Program.

13.4 Subcontractor shall cooperate with the DSA project inspector, shall not cover or conceal work before required inspection, and shall bear the cost of re-inspection required by its failure to do so.

ARTICLE 14 — DEFAULT AND TERMINATION

14.1 If Subcontractor fails to perform the Subcontract Work in accordance with this Subcontract, fails to maintain the schedule, fails to pay its workers or suppliers, or otherwise materially breaches this Subcontract, and does not begin to cure within three (3) working days after written notice, Contractor may supplement Subcontractor's forces, take over all or part of the Subcontract Work, or terminate this Subcontract for default.

14.2 Upon termination for default, Subcontractor shall not be entitled to further payment until the Subcontract Work is complete. If Contractor's cost of completion exceeds the unpaid balance of the Subcontract Sum, Subcontractor shall pay the difference to Contractor.

14.3 Contractor may terminate this Subcontract for convenience upon written notice, in which event Subcontractor shall be paid for Subcontract Work properly performed through the date of termination, plus reasonable demobilization costs, to the extent Contractor recovers such amounts from Owner. Subcontractor shall not be entitled to anticipated profit on unperformed work.

14.4 If Owner terminates the Prime Contract, Contractor may terminate this Subcontract on the same terms, and Subcontractor shall be entitled to the same recovery that Owner allows Contractor on account of the Subcontract Work.

ARTICLE 15 — DISPUTES AND GOVERNING LAW

15.1 This Subcontract is governed by the laws of the State of California, without regard to conflict-of-law principles.

15.2 Disputes involving acts or omissions of Owner shall be resolved under the claims and dispute procedures of the Prime Contract. Subcontractor shall be bound by the outcome of those procedures to the extent they concern the Subcontract Work, and Contractor shall present Subcontractor's properly documented claims to Owner at Subcontractor's expense.

15.3 Other disputes shall first be submitted to negotiation between senior representatives of each party within fourteen (14) days after written notice. Unresolved disputes may then be filed in the Superior Court of California, County of Sacramento, which the parties agree is the exclusive venue.

15.4 Pending resolution of any dispute, Subcontractor shall continue diligent performance of the Subcontract Work.

ARTICLE 16 — GENERAL PROVISIONS

16.1 Subcontractor shall not assign this Subcontract or subcontract any part of the Subcontract Work without Contractor's prior written consent. Subcontractor shall list any lower-tier subcontractors as required by Public Contract Code Section 4104.

16.2 Notices shall be in writing and delivered by hand, by recognized overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or as later designated in writing.

16.3 If any provision of this Subcontract is held invalid or unenforceable, the remaining provisions remain in full force, and the affected provision shall be enforced to the maximum extent permitted by law.

16.4 No waiver of any breach is a waiver of any other breach. This Subcontract may be amended only by a written instrument signed by both parties and may be executed in counterparts and by electronic signature.

SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the date first written above.

HARBOR POINT CONSTRUCTION, INC.

By: _____ Name: Marisol T. Reyes Title: Vice President, Operations Date: _____

DELTA MECHANICAL SYSTEMS, LLC

By: _____ Name: Gregory A. Lindqvist Title: Managing Member Date: _____

EXHIBIT — SCHEDULE OF VALUES

Line	Description	Value
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1	Mobilization, submittals, and permits	$18,000.00
2	General conditions and supervision	$12,000.00
3	Demolition and disposal of existing HVAC and plumbing	$32,000.00
4	Packaged rooftop units, curbs, and seismic anchorage	$126,000.00
5	Ductwork, diffusers, registers, and grilles	$84,000.00
6	Refrigerant piping and condensate drainage	$22,000.00
7	Direct digital controls	$46,000.00
8	Domestic water, waste, vent piping, and plumbing fixtures	$52,000.00
9	Testing, adjusting, and balancing	$19,000.00
10	Startup, commissioning support, training, and closeout	$17,000.00
	Subcontract Sum	**$428,000.00**